

SOUTHERN CROSS STRATEGIC HOLDINGS PTE LIMITED

Protecting People. Securing Progress.

Kikori Development Project | Papua LNG Corridor | Gulf Province, Papua New Guinea

COMPLIANCE POLICY

Legal, Contractual, Ethical & Human-Rights Compliance

DOCUMENT No. SCSH-AQAC-COM-001	VERSION 2.0	EFFECTIVE 1 August 2026
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1. Document Control

Policy Title	Compliance Policy
Document Number	SCSH-AQAC-COM-001
Version	2.0
Status	Approved — Controlled Document
Classification	Confidential — Internal Use Only
Effective Date	1 August 2026
Next Review Date	31 July 2027 (or earlier upon a triggering event under Section 25)
Policy Owner	Manager — Audit, Quality Assurance & Compliance (AQAC)
Approving Authority	Chief Executive Officer / Managing Director
Applies To	All directors, employees, contractors and subcontractors of the Company
Supersedes	AQAC Team Policy, Version 1.0 (2025) — compliance elements
Related Documents	Audit Policy (SCSH-AQAC-AUD-001); Quality Assurance Policy (SCSH-AQAC-QA-001); Code of Conduct; Zero-Tolerance Conduct, Ethics & Prohibited Behaviour Policy (SCSH-HR-GOV-001)

2. Purpose

This Compliance Policy establishes how the Audit, Quality Assurance & Compliance (AQAC) Team of Southern Cross Strategic Holdings Pte Limited (“the Company”, “SCSH”) ensures that the Company’s security operations conform, at all times, with every applicable policy, contractual, legal, health, safety, environmental, cultural, human-rights and ethical obligation arising at the Kikori Development Project (“KDP”) and across the wider Papua LNG corridor.

The policy exists to give the Company’s Executive Management, its client, project lenders, regulators and the communities of the Gulf Province documented assurance that compliance obligations are identified, monitored, verified, and — where a breach occurs — promptly corrected. It is designed to be auditable, defensible and consistent with the international standards applied to the Papua LNG project.

2.1 Objectives

- Maintain a single, living register of all compliance obligations to which the Company is subject.
- Verify, through independent checks and audits, that those obligations are being met at every site.
- Detect, classify, escalate and close non-compliance before it causes harm, loss or reputational damage.
- Embed respect for human rights and lawful, proportionate use of force in all security activity.
- Uphold a zero-tolerance position on bribery, corruption, fraud and abuse.
- Protect any person who reports wrongdoing in good faith from retaliation.
- Demonstrate to the client and to project lenders that the Company operates to project-grade compliance standards.

3. Scope & Application

This policy applies to all directors, employees, contractors and subcontractors of the Company, and to every security activity, site, vehicle, vessel, firearm, canine, communication system and asset operated within the Kikori Development Project and the wider Papua LNG corridor to which the Company is deployed.

It applies across all lines of operation, including land security, border security, sea-marshal and riverine security, private security details (PSD), quick-response teams (QRT), canine (K9) operations, the operations room, logistics and stores, and transport. No person or function within the Company is exempt from the obligations set out in this policy.

Where a provision of this policy conflicts with a mandatory requirement of Papua New Guinea law or of the client's contract, the stricter and more protective requirement prevails.

4. Definitions & Abbreviations

Term	Meaning
Compliance	Conformance with applicable laws, regulations, contractual requirements, standards, policies and ethical obligations.
AQAC	Audit, Quality Assurance & Compliance Team — the independent assurance function that owns this policy.
KDP	Kikori Development Project — the Company's operational area within the Papua LNG corridor, Gulf Province.
FID	Final Investment Decision — the sanctioning of the Papua LNG project by its joint-venture partners.
VPSHR	Voluntary Principles on Security and Human Rights — the framework guiding security conduct on extractive projects.
UNGPs	United Nations Guiding Principles on Business and Human Rights.
IFC PS	International Finance Corporation Performance Standards on Environmental and Social Sustainability.
SIA	Security Industries Authority — the PNG statutory regulator of the private security industry.
NCN	Non-Compliance Notice — a formal record of a compliance breach requiring corrective action.
CAIP	Corrective Action & Improvement Plan — the documented plan to remedy a Major or Critical finding.
CAPA	Corrective and Preventive Action — the closed-loop process of remedying and preventing recurrence of a finding.
Conflict of Interest	A situation in which a person's private interest could improperly influence the performance of their duties.
Whistleblower	A person who reports suspected wrongdoing and is protected from retaliation for doing so.
Use of Force	Any application of physical force by security personnel, which must be lawful, necessary, proportionate and a last resort.

5. Operating Context

Southern Cross Strategic Holdings Pte Limited provides integrated security services across the Kikori Development Project within the Papua LNG corridor in the Gulf Province of Papua New Guinea. The Papua LNG project is operated by TotalEnergies EP PNG on behalf of a joint-venture consortium and will develop the onshore Elk–Antelope gas fields, connecting them by pipeline to liquefaction facilities located adjacent to the existing PNG LNG plant near Port Moresby.

As at the effective date of this policy, the joint-venture interests are held by **TotalEnergies EP PNG (operator, 37.55%), ExxonMobil PNG (37.04%), Santos (22.83%) and JX Nippon (2.58%)**, with the Independent State of Papua New Guinea holding a statutory back-in right of up to 22.5%. The development comprises three liquefaction trains with a combined capacity of approximately 4 million tonnes per annum.

The project is advancing towards a **Final Investment Decision (FID) targeted for the fourth quarter of 2026**. A statutory prerequisite to FID — the **State-led Development Forum** convening the national and provincial governments, landowners of the Gulf and Central Provinces, and the project partners — **commenced in July 2026**. Key regulatory approvals, including CEPA Level 3 environmental permits for the upstream and downstream components, have been secured, and the Government has placed strong emphasis on national content, local employment and the use of domestic suppliers.

As the project transitions from pre-FID engineering towards construction mobilisation, security demand, personnel numbers, subcontractor activity and community interface all increase sharply. This elevates operational risk and intensifies the obligation to demonstrate assurance, quality and compliance to the client, to project lenders and to regulators. Accordingly, this policy is written to align with:

- the security and contractual requirements of the Papua LNG project and the KDP;
- Papua New Guinea legislation and regulatory frameworks governing private security, employment, firearms, occupational health and safety, migration and the environment;
- internationally recognised standards applied to the project, including the Voluntary Principles on Security and Human Rights (VPSHR), the UN Guiding Principles on Business and Human Rights, the Equator Principles and the IFC Performance Standards; and
- the Company's own policies, Standard Operating Procedures (SOPs), Code of Conduct and Christian corporate values.

6. Policy Statement

The Company is committed to lawful, ethical and human-rights-respecting security operations. The compliance function operates independently of line operations to verify that obligations are met, to detect and correct breaches, and to protect the Company, its people, the client and the communities of the Gulf Province from harm and reputational risk.

Executive Management affirms that compliance is a non-negotiable condition of employment and of every subcontract. No commercial, operational or scheduling pressure shall be permitted to justify a breach of law, of human rights, of safety, or of the client's contractual conditions.

7. Legal & Regulatory Framework

The Company operates within the legal framework of the Independent State of Papua New Guinea. The compliance function maintains, and periodically verifies with qualified legal counsel, a register of the statutes and instruments to which the Company is subject. These include, but are not limited to:

Instrument	Relevance to Company Operations
Security (Protection) Industry Act 2004 & Regulation	Licensing and conduct of private security providers; permitting of security guards; oversight by the Security Industries Authority (SIA). Operating or engaging guards without a valid licence/permit is an offence.
Firearms Act 1978	Possession, licensing, carriage, storage and use of firearms and ammunition. Firearms authorisations are controlled separately from SIA licensing.
Employment Act 1978 & Employment of Non-Citizens Act 2007	Terms of employment, minimum wage, and work permits for non-citizen personnel deployed to the project.
Migration Act 1978	Entry permits and visas for internationally recruited personnel.
Industrial Safety, Health & Welfare Act / applicable OHS framework	Occupational health and safety obligations at all sites and camps.
Environment Act 2000	Environmental protection obligations administered by the Conservation and Environment Protection Authority (CEPA).
Criminal Code Act 1974	General criminal law, including assault, unlawful detention and offences relevant to the use of force.
Independent Commission Against Corruption Act 2020 & Proceeds of Crime Act 2005	Anti-corruption, bribery and anti-money-laundering obligations.

Note: Statute titles and citations above are maintained in the Compliance Obligations Register and are verified against current PNG law before reliance. Where legislation is amended or replaced, the register is updated and this policy reviewed under Section 25.

8. International Standards & Client Requirements

Because the Papua LNG project is financed and governed to international standards, the Company holds itself to the following frameworks in addition to PNG law:

- **Voluntary Principles on Security and Human Rights (VPSHR)** — the governing framework for security conduct on extractive projects, including risk assessment, engagement with public security and lawful, proportionate response.
- **UN Guiding Principles on Business and Human Rights (UNGPs)** — the “protect, respect and remedy” framework applied to the Company’s human-rights due diligence.
- **IFC Performance Standards & the Equator Principles** — the environmental and social performance standards applied by project lenders, in particular PS 4 (Community Health, Safety and Security).
- **UN Basic Principles on the Use of Force and Firearms & the Code of Conduct for Law Enforcement Officials** — the benchmark for the Company’s use-of-force policy and training.
- **International Code of Conduct for Private Security Service Providers (ICoC / PSC.1)** — recognised good practice for private security service providers.
- **Client (TotalEnergies EP PNG) security and HSE requirements** — the contractual security management, human-rights and HSE standards specified for the KDP.

9. Governance, Independence & Responsibilities

This policy is administered by the Audit, Quality Assurance & Compliance (AQAC) Team, which operates independently of line operations to preserve objectivity, transparency and accountability.

9.1 AQAC Team Composition

- **AQAC Manager** — team lead; owns this policy; reports directly to Executive Management.
- **Quality Assurance Officer** — responsible for SOP and service-quality performance checks.
- **Compliance Officer** — ensures policy, contractual and legal compliance; maintains the obligations register; issues NCNs.
- **Internal Auditor(s)** — conducts scheduled, risk-based and unannounced audits.
- **Documentation & Reporting Officer** — maintains evidence, records, registers and reports.

9.2 Independence Safeguards

- The AQAC Team must not be directed or influenced by the site operations it reviews.
- All findings are reported directly and without filtering to Executive Management.
- Operational managers may provide clarification and context but cannot overrule, suppress or amend AQAC findings or ratings.
- AQAC personnel must declare and stand aside from any matter in which they have a personal or operational conflict of interest.

Within the compliance function, the Compliance Officer maintains the Compliance Obligations Register, conducts compliance checks, issues Non-Compliance Notices and reports directly to the AQAC Manager and Executive Management.

9.3 Responsibility Summary

Role	Core Compliance Responsibility
CEO / Managing Director	Ultimate accountability; approves the policy; ensures the compliance function is resourced and independent.
AQAC Manager	Owns and administers this policy; escalates Critical findings; reports to Executive Management.
Compliance Officer	Day-to-day compliance monitoring, register upkeep, NCN issuance and follow-up verification.
Operations / Project Managers	Deliver operations in compliance; own and close corrective actions assigned to their area.
Supervisors & Guards	Comply with SOPs, law and human-rights standards; report breaches and near-misses promptly.
Subcontractors	Meet the same compliance standards through flow-down contractual obligations.

10. Compliance Obligations

The compliance function ensures conformance with:

- Southern Cross Strategic Holdings Pte Limited policies, SOPs and Code of Conduct;
- the security requirements and contractual conditions of the Papua LNG project and the Kikori Development Project;

- PNG legal and regulatory frameworks, including the licensing and conduct of private security, firearms controls, employment law, and immigration and work-permit requirements;
- Occupational Health & Safety (OHS/HSE) standards;
- environmental and cultural protocols applicable to the Gulf Province and KDP, including obligations arising from the State-led Development Forum and ongoing landowner engagement;
- human-rights standards, in particular the VPSHR and lawful, proportionate use-of-force requirements;
- the Equator Principles and IFC Performance Standards as applied to the project; and
- anti-bribery, anti-corruption and the Company's ethical standards.

11. Compliance Risk Management & Obligations Register

The compliance function operates on a risk basis. Each obligation is recorded in the Compliance Obligations Register together with its source, the responsible owner, the verification method, the frequency of checking, and its current status (compliant, at risk, or non-compliant).

Obligations and sites are prioritised for monitoring according to the severity and likelihood of non-compliance and the potential impact on people, the asset, the client and the Company's reputation. Higher-risk activities — the use of force, firearms handling, community interface, and the mobilisation of new subcontractors — receive proportionately greater scrutiny.

12. Compliance Monitoring & Checks

Compliance monitoring is conducted on a defined cycle, supplemented by unannounced and event-driven checks:

Frequency	Compliance Activity
Daily	Checks on site logs, occurrence books and access records across all posts.
Weekly	Inspection of gate operations, access control and guard-force posting against contract.
Monthly	Review of personnel files for licences, permits, certificates, vetting and right-to-work; review of the obligations register.
Ongoing	Verification of HSE requirements — first-aid kits, safety equipment, hazard reporting; confirmation of environmental and cultural obligations specific to the KDP.
Immediate	Reporting of any corruption, bribery, abuse, human-rights breach, firearms incident or serious misconduct under the critical-finding protocol.

13. Human Rights & VPSHR Compliance

The Company respects the human rights of all persons affected by its operations, in particular the communities of the Gulf and Central Provinces. Security is provided in a manner that is lawful, proportionate and consistent with the Voluntary Principles on Security and Human Rights and the UN Guiding Principles on Business and Human Rights.

13.1 Use of Force

- Force is used only where strictly necessary, and then only to the minimum extent and duration required.
- Firearms are carried, stored and used strictly in accordance with the Firearms Act and the Company's use-of-force SOP.
- Every use-of-force incident is reported, recorded and reviewed by the compliance function without delay.

13.2 Human-Rights Due Diligence & Grievance

- Human-rights risks are assessed before deployment and reviewed as the operating context changes.
- A confidential grievance mechanism is available to community members and personnel to report alleged human-rights impacts.
- Credible allegations of human-rights abuse are investigated promptly, remediated where substantiated, and escalated to Executive Management and, where required, the client.

14. Anti-Bribery, Anti-Corruption & Conflicts of Interest

The Company maintains a zero-tolerance position on bribery, corruption, fraud, facilitation payments and money laundering, consistent with PNG law and the standards of the project and its lenders.

- No employee, contractor or subcontractor shall offer, give, solicit or accept any bribe, kickback or improper payment or advantage.
- Gifts and hospitality must be modest, transparent, lawful and recorded; anything capable of influencing a decision must be declined and reported.
- Every actual, potential or perceived conflict of interest must be declared in writing and managed by the AQAC Manager; the person concerned must stand aside from the affected matter.
- Dealings with public officials, police and public security must be conducted transparently and in line with the VPSHR.

15. Ethical Standards & Code of Conduct

All personnel, and AQAC members in particular, must:

- maintain confidentiality;
- avoid and declare any conflict of interest;
- act with integrity, impartiality and fairness;
- report any suspicion of corruption, abuse or fraud; and
- respect whistleblower protections — no person who reports wrongdoing in good faith shall suffer retaliation.

16. Whistleblowing & Protected Disclosures

The Company encourages the reporting of suspected wrongdoing and protects those who report in good faith.

- Reports may be made to a supervisor, the Compliance Officer, the AQAC Manager or Executive Management, and confidentially where preferred.
- The identity of a whistleblower is protected so far as lawfully possible, and reports may be made anonymously.
- Retaliation against any person who reports in good faith is itself a serious breach of this policy and will result in disciplinary action.
- Knowingly false or malicious reports are not protected and may be subject to disciplinary action.

17. Subcontractor & Supply-Chain Compliance

Subcontractors and suppliers engaged by the Company are held to the compliance standards of this policy through flow-down contractual obligations.

- Subcontractors are screened for licensing, capability, human-rights record and integrity before engagement.

- Compliance obligations — including VPSHR, use-of-force, anti-corruption and HSE standards — are written into subcontracts.
- Subcontractor performance is monitored, and persistent or serious non-compliance is grounds for suspension or termination.

18. Non-Compliance Classification & Escalation

Category	Definition	Required Response
Critical	An immediate threat to life, safety or security of the asset, or a serious breach of law, human rights or client contractual conditions.	Immediate intervention and containment; notify Executive Management and Project Management without delay; corrective action commenced the same day.
Major	Repeated breaches, systemic weakness, or an issue causing material operational disruption or reputational exposure.	Formal Non-Compliance Notice (NCN) issued; Corrective Action & Improvement Plan (CAIP) required within five (5) working days.
Minor	Isolated deviation from an SOP or standard with limited operational impact.	Documented and corrected at site level; verified at the next scheduled review.

18.1 Escalation Procedure

1. The AQAC Team identifies and records the issue with supporting evidence.
2. The issue is formally reported to Executive Management with a recommended classification.
3. Corrective measures are assigned to a responsible owner with a due date.
4. Follow-up verification confirms whether the corrective action has closed the finding.
5. Where non-compliance persists or recurs, the matter is referred for disciplinary or contractual action in accordance with Company policy.

19. Corrective & Preventive Action (CAPA)

Every Major and Critical finding is managed through a closed-loop CAPA process. Root cause is established, an owner and due date are assigned, the corrective action is implemented, and preventive measures are put in place to stop recurrence. A finding is closed only after the AQAC Team independently verifies that the action has been effective.

20. Reporting Requirements

The compliance function produces the following, at minimum:

- Daily Compliance Check Report;
- Non-Compliance Notices (NCNs);
- Incident and misconduct investigation reports;
- Monthly Compliance Review; and
- a Compliance Obligations Register tracking status against each obligation.

Reports are distributed to the CEO / Managing Director, the Operations Manager, the Kikori Project Manager and the HR Manager (for personnel matters). Critical human-rights, safety or legal breaches are notified immediately under the critical-finding protocol, ahead of the routine reporting cycle.

21. Compliance Performance Indicators

Compliance performance is measured and reported to Executive Management. Indicative measures include:

Indicator	Target
Personnel with valid licences, permits and right-to-work	100%
NCNs closed within their required timeframe	≥ 95%
Scheduled compliance checks completed	≥ 98%
Substantiated human-rights or use-of-force breaches	Zero; every case investigated and remediated
Overdue corrective actions	Zero

22. Training, Awareness & Communication

- Monthly compliance meeting with Kikori Project management.
- Weekly briefings with Operations Managers.
- Immediate notification protocol for critical findings.
- Induction and refresher awareness sessions so that all guards and supervisors understand their compliance, human-rights and use-of-force obligations.
- Records of attendance and competency are maintained for audit.

23. Records, Data Protection & Document Control

- The AQAC Team maintains a master file of compliance registers, checklists, NCNs and reports.
- Records are stored securely in digital and hardcopy form and made available to the client and regulators on lawful request.
- Personal and sensitive information is handled confidentially and only for legitimate compliance purposes.
- All revisions to controlled documents must be approved by Executive Management before use, and issued through the AQAC document-control process.

24. Continuous Improvement

The compliance function continually improves through analysis of findings, trends, incidents and audit results. Lessons learned are fed back into SOPs, training and the obligations register so that recurring weaknesses are designed out and good practice is standardised across all sites.

25. Policy Review

This policy shall be reviewed at least annually, and earlier where any of the following occurs:

- a change in the Company's operational structure or contractual scope;
- a change in Papua LNG or KDP project requirements, including movement of the FID or Development Forum outcomes;
- a change in the Papua New Guinea regulatory environment;
- the emergence of a new or elevated security, safety, human-rights or environmental risk;

- a change in human-rights, anti-corruption or environmental obligations affecting the project; or
- a directive from Executive Management or the client.

26. Related Documents

- Audit Policy (SCSH-AQAC-AUD-001);
- Quality Assurance Policy (SCSH-AQAC-QA-001);
- Code of Conduct and Zero-Tolerance Conduct, Ethics & Prohibited Behaviour Policy (SCSH-HR-GOV-001);
- Use-of-Force, Firearms, Border, Sea-Marshall, PSD, QRT, K9 and Operations Room SOPs and policies;
- Compliance Obligations Register; NCN and CAIP templates.

27. Authorisation & Sign-Off

This policy is issued under the authority of the Executive Management of Southern Cross Strategic Holdings Pte Limited and is a controlled document. Amendments are valid only when approved by the Approving Authority and re-issued through the AQAC document-control process.

Prepared By	Reviewed By	Approved By
Manager, AQAC	Compliance Officer	CEO / Managing Director
Name & Signature Date: _____	Name & Signature Date: _____	Name & Signature Date: _____

28. Revision History

Version	Date	Summary of Change
1.0	2025	Initial compliance content within the AQAC Team Policy.
2.0	1 August 2026	Split into a standalone Compliance Policy; expanded and formalised; operating context updated to Q4 2026 FID target and July 2026 Development Forum; added legal framework, international standards, human-rights, anti-corruption, whistleblowing, subcontractor, CAPA and KPI sections.